Corporate Influences

Exam code: 9BS0

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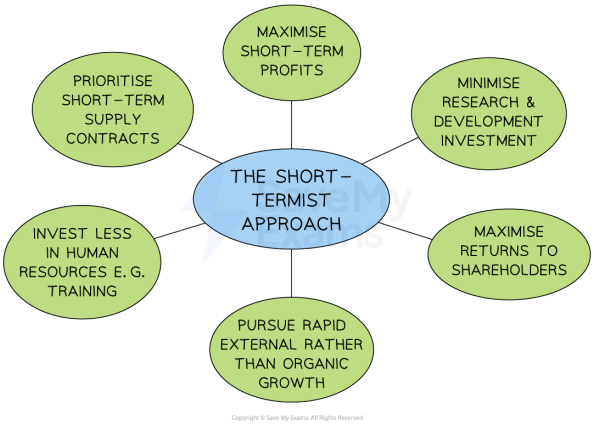
Corporate timescales: short-termism versus long-termism

- Business decisions can have **long-term** and **short-term implications**
  - Long-term decisions are likely to affect the long-term **mission** and **vision** of the business over a period of anything **up to ten years**
  - Short-term decisions are more likely to impact **objectives** and **tactics** over the **next few years** at most
- Many businesses focus on **decision-making for the short term**
- This is especially influenced by pay structures, e.g. when executives' pay is linked to short-term success, such as an increase in the **share price**

The short-termist approach



Strategies likely to be adopted by a business with a short-termist approach to decision-making

- Businesses that adopt a short-termist approach may face a range of problems:
  - Loss of **profitability** and **competitive edge** as lucrative **long-term opportunities are ignored** in favour of short-term priorities

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

- Reliance on **short-term contracts** with suppliers and workers is likely to lead to **higher than necessary costs**, as benefits such as bulk buying discounts cannot be achieved

- It is argued that short-termism is an **entrenched** feature in British businesses, and some commentators consider that it is a **key reason for sluggish productivity** and a lack of willingness to invest in research, training and skills

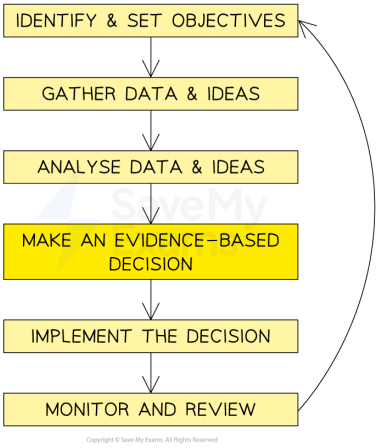
- Some businesses are more likely to engage in those activities that will allow them to **take advantage of opportunities that improve productivity and provide a competitive edge in the future**

- This long-term approach may include a business:
  - Conducting ongoing **investment in research and development**, innovation and new product development
  - Adopting a long-term outlook with **less emphasis on frequent financial reporting**
  - Valuing and investing significant resources into the **recruitment, training and retention of staff**
  - Establishing and nurturing **meaningful and lasting relationships with suppliers**

Evidence-based versus subjective decision-making

- **Evidence-based decision-making** involves taking a **systematic and fact-based approach** when determining objectives, strategy and tactics

The evidence-based approach



The evidence-based approach to business decision-making

- Data is then gathered and analysed to consider the range of available decisions
  - Internal data may be gathered from **sales records** and **market research**
  - External **market data** and **economic forecasts** are also often used

- The appropriate **evidence-based strategic and tactical decision is made** and **communicated** to those required to carry out the range of tasks involved
- The decision is **implemented**, carefully **monitored** and **reviewed**
- The **outcome** of the decision can be used to **inform future decision-making**

- **Subjective decision-making** is guided principally by the **personal opinions** and **experiences** of key decision-makers
  - Subjective decision-making is often **more risky** than an evidence-based approach, but there are some circumstances in which it may be more appropriate

Situations in which subjective decision-making may be appropriate

Situation	Explanation
• When **quick decisions** need to be made	• Sometimes, a swift decision needs to be made to counter **rapidly changing market conditions** • E.g. the **entry of a new competitor** may require an immediate response to avoid losing sales
• Where the **nature of the industry** means that subjective decisions are normal	• In some industries, subjective decision-making provides the **key element of competitive advantage** • E.g. the fashion industry relies on the instincts and personal style choices of designers and buyers who are likely to have a "gut feeling" that guides their decisions
• Where there is a **lack of data** to support evidence-based decision-making, or when **data conflicts**	• In some instances, there may be a lack of up-to-date and accurate data to support an evidence-based decision, so a **well-placed "hunch"** may be the best option a business has • E.g. choosing a new supplier with whom a business has no previous trading relationship

• Where a **persuasive and single-minded leader** runs the business	• Some businesses are dominated by powerful leaders who make key strategic decisions **without consultation** and with **limited data** • This is an appropriate decision-making approach in which leaders are **experienced** and **trusted** and have a **good track record**

Examiner Tips and Tricks

A business's **approach to decision-making** can provide an excellent basis for **analysis** and **evaluation**.

Look out for clues in the case study that identify whether the business takes an **evidence-based** or **subjective** approach and weigh up how this may affect both the **quality of the decision** and the likelihood of the business **achieving its objective**.

Explore the **skills, experience and characteristics** of the key decision-makers and state your concerns.

Consider whether their approach is appropriate, given the **timescales available** and the **level of risk** involved in the decision.

Evaluate the **sources of information** used to make decisions and make a judgement about whether it is **sufficient**.

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